

Oil & Gas Lease Agreement

Instrument No. BIA-OG-55120 | San Juan County, NM | Prepared November 1, 2022

PARTIES

Lessor / Grantor: Allottee - Ella Yazzie
Lessee / Grantee: NTEC Operations LLC

RECITALS

THIS OIL & GAS LEASE AGREEMENT ("Agreement") is entered into by and between the parties identified above. Lessor is the owner of, or holds authority to lease, the lands described herein, and desires to lease said lands to Lessee for the purposes set forth below, subject to all applicable federal, tribal, and state regulations, including where applicable the oversight of the Bureau of Indian Affairs (BIA), Bureau of Land Management (BLM), and the Office of Surface Mining Reclamation and Enforcement (OSMRE).

PREMISES & LEGAL DESCRIPTION

Legal Description: T27N R13W Sec 16, all
Gross Acreage: 640 acres, more or less

The leased premises are located within the Public Land Survey System as described above, together with all rights of ingress and egress reasonably necessary for the operations contemplated hereunder.

TERM

Effective Date: November 1, 2022
Primary Term Ends: October 31, 2027

This Agreement shall remain in effect for the primary term stated above and so long thereafter as operations are conducted or the premises are Held By Production (HBP), unless sooner terminated in accordance with its terms.

CONSIDERATION

Annual Rental: \$12,800
Royalty Rate: 18.75% of gross proceeds

Lessee shall pay the rentals and royalties set forth above in accordance with the payment schedule maintained by the NTEC Land Department. Time is of the essence with respect to all payment obligations.

OBLIGATIONS & COMPLIANCE

- Lessee shall conduct all operations in a good and workmanlike manner consistent with prudent industry practice.
- Lessee shall comply with all reclamation, environmental, and bonding requirements applicable to the premises.
- Lessee shall carry insurance and furnish certificates as required, and shall indemnify Lessor as provided herein.

- Reports, rentals, and royalty statements shall be tendered on or before their respective due dates.

SPECIAL PROVISIONS

5-yr primary term, 18.75% royalty. HBP if production established.

EXECUTION

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date first written above.

LESSOR / GRANTOR - Allottee - Ella Yazzie

LESSEE / GRANTEE - NTEC Operations LLC

Date: _____

Date: _____